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From Main Street to Mint Road

Appointment as Governor

As a career civil servant, my ambition had always been to become the Cabinet secretary to the Government of India, the highest civil service position in the country. This was within the realm of possibility too since both age and seniority at the top of my batch in the Indian Administrative Service (IAS) were on my side. A lot would, of course, depend on my performance evaluation which, in the civil service, is confidential, but I was confident that my ratings were generally above average. But one can never be sure of one's career trajectory in the civil service as appointments and placements are based on a number of factors, not all of them transparent or contestable.

I was transferred from the prime minister's Economic Advisory Council and posted as finance secretary to the Government of India in April 2007. By then, I was within striking range of the cabinet secretary's job as the position was expected to open up well before my scheduled superannuation in August 2009. The reason for this long preface is only to say that the job of the governor of the Reserve Bank was not in my career calculus.

The term of Y.V. Reddy as governor of the Reserve Bank was going to end in early September 2008. The inevitable speculation about his putative successor started several months earlier, with economic journalists compiling their own panels of candidates and evaluating the strengths and weaknesses, as well as the chances of each candidate. The trick of the trade is to write authoritatively so as to give the impression of being on the inside track. There was talk too that Y.V. Reddy would be requested to continue